



Strathmore
UNIVERSITY

BUSINESS SCHOOL

BUSINESS-LEVEL STRATEGY

SESSION 4

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OUTLINE

- Generic competitive strategies (cost leadership, differentiation, focus)
- Hybrid strategies and strategic positioning
- Value creation and appropriation
- Customer segmentation and targeting
- Innovation strategies

UNDERSTANDING BUSINESS-LEVEL STRATEGY

- How a firm competes in a specific market to achieve a sustainable advantage.
- Focuses on meeting customer needs better or cheaper than rivals.
- Narrower than corporate-level strategy (industry choice).
- Broader than functional-level strategy (supporting activities).
- Core to aligning market positioning with internal capabilities.

IN THIS STRATEGY

- Who is the target customer segment?
- What unique value do we offer to them?
- How will we deliver value in a way competitors cannot match?
- Which resources and capabilities will drive our success?
- What trade-offs are we willing to make?
- How will we measure and sustain competitive advantage?

PORTER'S GENERIC STRATEGIES OVERVIEW

- Framework for achieving competitive advantage.
- Three main options: Cost Leadership, Differentiation, Focus.
- Each requires distinct resources, culture, and investments.
- Success depends on aligning strategy with market conditions.
- Mixing approaches without clarity risks being “stuck in the middle.”
- Goal: Clear, defensible market position.

COST LEADERSHIP STRATEGY

- Deliver products/services at the lowest cost without losing acceptable quality.
- Driven by economies of scale, process efficiencies, and supply chain control.
- Attracts price-sensitive customers and withstands price wars.
- Example: Walmart, Ryanair, Naivas Supermarket.
- Risk: Lower-cost entrants or tech disruptions eroding advantage.
- Requires disciplined cost control and standardization.

DIFFERENTIATION STRATEGY

- Offer unique features customers value and will pay more for.
- Driven by brand, innovation, design, quality, or service.
- Builds loyalty and reduces price sensitivity.
- Example: Apple, IKEA, Safaricom (via M-Pesa), Java House
- Risk: High costs, imitation, changing tastes.
- Requires continuous innovation and brand investment.

FOCUS STRATEGY (NICHE)

- Serve a narrow segment better than broad-market competitors.
- Cost Focus: Lowest cost in niche (e.g., Aldi, Eastmatt Supermarket).
- Differentiation Focus: Unique niche offering (e.g., Patek Philippe, Sarit Centre's Zingira Eco Store).
- Allows deep understanding of customer needs.
- Risk: Niche may shrink or attract large rivals.
- Success depends on segment loyalty and entry barriers.

STRATEGIC CHOICE & TRADE-OFFS

- Firms must commit to one clear strategy direction.
- Avoid mixing approaches without focus (“stuck in the middle”).
- Cost leadership vs. differentiation often require opposite investments.
- Trade-offs ensure resource focus and clarity.
- Example: IKEA accepts DIY assembly trade-off for price advantage.
- Alignment with core competencies and market trends is key.

THE ROLE OF CORE COMPETENCIES

- Unique strengths that underpin business-level strategy.
- Must be valuable, rare, hard to imitate, and well-organized (VRIO).
- Provide long-term advantage when linked to customer needs.
- Examples: Toyota's production system, IKEA's design-to-cost process.
- Guide strategic decisions and market positioning.
- Require continual investment and protection.

HYBRID STRATEGIES

- Combine cost efficiency with differentiation advantages.
- Example: IKEA – low-cost supply + stylish Scandinavian design.
- Equity Bank – Affordable banking + innovative financial inclusion (e.g., mobile, agency banking).
- Kenya Airways – Competitive pricing + premium national brand.
- M-KOPA – Low-cost pay-as-you-go model + smart tech financing and support.
- Risk: High resource demands to excel in both areas.
- Works best with operational excellence and innovation.
- Requires clarity so customers understand value proposition.

STRATEGIC POSITIONING

Why choose us over competitors?

- Should be simple, clear, and consistent.
- Uses perceptual maps to identify market space.
- Position can be based on quality, price, service, or niche attributes.
- Differentiation must be meaningful and visible to customers.
- Position should align with brand promise and delivery capability.

VALUE CREATION

- Delivering benefits that customers perceive as worth paying for.
- Achieved via performance, quality, design, service, brand.
- Must exceed or match customer expectations.
- Drives customer satisfaction, loyalty, and advocacy.
- Example: IKEA offers stylish furniture at affordable prices.
- Continuous improvement is essential to sustain value.

VALUE APPROPRIATION

- Capturing part of the value created as profit.
- Achieved through pricing power, retention, and cost control.
- Protects margins from competitive erosion.
- Balance is key, too much appropriation risks losing customers.
- Example: Apple captures high margins through premium pricing.
- Linked to brand strength and market control.

LINKING CREATION & APPROPRIATION

- Sustainable advantage needs both creation and appropriation.
- Creation without appropriation equals weak profitability.
- Appropriation without creation equals declining customer base.
- Strategic alignment ensures profitability and growth.
- Example: IKEA manages low costs while keeping design appeal.
- Must adapt as customer preferences and competitors change.

EVOLVING BUSINESS-LEVEL STRATEGY

- Strategies must adapt to environmental and market shifts.
- Core value proposition should remain consistent.
- Innovations, cost changes, and regulations may drive change.
- Flexibility is vital in sustaining advantage.
- Regular review ensures relevance and competitiveness.

CUSTOMER SEGMENTATION

- Segmentation divides a broad market into smaller, similar groups.
- Groups share needs, preferences, or behaviors.
- Enables precise targeting and tailored strategies.
- Avoids waste from “one-size-fits-all” approaches.
- Aligns with firm’s strengths and competencies.
- Foundation for competitive positioning.

TARGETING

- Selecting the segments the firm will serve.
- Tailors pricing, products, and distribution to chosen groups.
- Focuses resources on high-potential customers.
- Creates stronger market relevance and loyalty.
- Requires clear understanding of segment profitability.
- Must align with long-term business strategy.

IMPORTANCE OF SEGMENTATION & TARGETING

- Different segments require unique value propositions.
- Supports sustainable competitive advantage.
- Guides marketing mix decisions effectively.
- Helps defend against undifferentiated competitors.
- Enhances brand positioning in chosen niches.
- Builds deeper customer relationships.

BASES FOR MARKET SEGMENTATION

- Demographic: Age, income, education, occupation.
- Geographic: Region, climate, urban vs. rural.
- Psychographic: Lifestyle, values, personality traits.
- Behavioral: Purchase frequency, loyalty, usage rate.
- Choice of base depends on industry and strategy.
- Often, firms combine multiple bases for accuracy.

INNOVATION STRATEGY

- Plan to develop new products, services, or processes.
- Drives competitive advantage at the business level.
- Can differentiate, lower costs, or redefine standards.
- Prevents strategic drift in fast-changing markets.
- Can create temporary market monopolies.
- Supports long-term growth and relevance.

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TYPES OF INNOVATION

What Are You Innovating?

- Product Innovation: New/improved goods or services.
- Process Innovation: Efficiency improvements in operations.
- Business Model Innovation: Changing value delivery/capture.
- Each type can support cost leadership or differentiation.
- Successful firms often blend all three types over time.

INNOVATION DEGREES

- Incremental: Small improvements
- Radical: Breakthrough changes
- Architectural: Recombining existing elements
- Disruptive: Initially simple but game-changing
- Frugal Innovation: Maximum impact with limited resources

STRATEGIC ROLE OF INNOVATION

- Sustains differentiation through continuous improvement.
- Enables cost reduction without sacrificing value.
- Creates unique offerings competitors can't match quickly.
- Enhances brand relevance in evolving markets.
- Supports niche strategies by adapting to segment needs.
- Builds resilience against disruption.

CASE STUDY: IKEA IN CHINA - ENTRY PHASE

- Entered with global differentiation model.
- Offered Scandinavian design, large store format, DIY assembly.
- Targeted middle-income urban households.
- Emphasized affordable style with quality.
- Relied on imported products initially.
- Focused on building brand awareness and store experience.

STRATEGY & CULTURAL SENSITIVITY

- Understanding local consumer culture is essential.
- Tailor offerings without losing global brand consistency.
- IKEA respected Chinese family and home values.
- Local service options increased acceptance.
- Price adjustments supported affordability perception.
- Shows cultural fit enhances competitive strategy.



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